

# Argentina's Shock Therapy

## Milei's Libertarian Experiment, Dollarization, and the IMF Endgame

Blue Lotus Research Intelligence | August 2026

### Executive Summary

Argentina under President Javier Milei entered one of the most radical economic restructuring experiments in modern Latin American history. Since taking office in late 2023, Milei pursued an uncompromising austerity programme — deep spending cuts, the elimination of the fiscal deficit, and a managed crawling-peg exchange rate — to arrest the country's chronic inflation and restore investor confidence. By late 2025, the programme had yielded a partial stabilisation of consumer prices, but at severe social and political cost: stagnating wages, rising unemployment, and declining popular support. The central bank remained critically short of usable foreign reserves, relying heavily on borrowed liquidity to defend the exchange rate band. Washington intervened directly in late 2025 with a multi-billion-dollar support package, underscoring both the geopolitical stakes and the fragility of the stabilisation. By early 2026, Argentines had begun spending on imported consumer goods, signalling cautious confidence in Milei's open-economy vision — but structural reform remained incomplete and the midterm electoral cycle loomed as the next test of programme durability.

### I. Shock Therapy and the Political Economy of Austerity

1. Milei's austerity programme produced measurable inflation correction through severe expenditure compression. By November 2025, the restaurant sector in Buenos Aires — once among Latin America's most expensive — had become an indicator of the broader economic squeeze, with domestic tourism curtailed and consumer margins compressed under two years of Milei's programme. FT[2025-11-24]
2. Argentina's chronic history of exchange controls shaped the behaviour of market participants throughout the stabilisation. Between April and August 2025, individual traders alone absorbed \$9.5 billion from the central bank, reflecting voracious dollar demand from an economy conditioned by decades of currency crises. FT[2025-10-07]
3. Milei's approval rating declined from 48 per cent in July 2025 to 41 per cent by September, as stagnating wages and rising unemployment disillusioned voters. Economists noted that the president needed to correct policy mistakes and had deliberately set certain targets at zero. FT[2025-09-26]
4. By mid-2025, the halfway point of his mandate, Milei had struggled to bring major multinational investors fully on board. Foreign investment had fallen by half year-on-year, with multinationals acting as net sellers of Argentine assets rather than buyers. Important structural reforms — beyond the fiscal tightening — remained outstanding. FT[2025-08-08]
5. By February 2026, however, Argentines were actively purchasing imported consumer goods — Lego sets, Apple computers, Stanley thermos flasks — through e-commerce platforms that allowed direct overseas ordering, a visible signal of the open-economy dividend emerging from Milei's liberalisation agenda, even as foreign goods remained relatively expensive. FT[2026-02-03]

---

## II. Exchange Rate Management, Reserves Crisis, and External Support

---

6. Argentina's central bank operated under an exchange rate band mechanism throughout the second half of 2025. In September 2025, the peso hit the lower limit of the band at 1,4475 pesos to the dollar, triggering the central bank to sell \$53 million in foreign currency in a single session to defend the floor. FT[2025-09-19]

7. The reserve position was structurally compromised. Almost all of the central bank's \$43 billion in foreign currency reserves consisted of loans and other financial liabilities rather than free reserves; economists noted that accumulation had fallen more than \$10 billion short of targets, leaving the sovereign vulnerable to political shocks. FT[2026-01-08]

8. Budget protests erupted in Buenos Aires over the cost of the programme, with analysts warning that the government was burning through scarce hard currency reserves and that bond stability depended critically on the availability of additional international official financing. Guido Sandleris, former central bank governor, highlighted reserve-side vulnerability to a political shock. Alejandro Werner of Georgetown University noted the same reserve constraint. FT[2025-09-24]

9. Investor concern crystallised in October 2025 when Argentine bonds rallied into reverse and debts maturing in 2029 and 2035 came under renewed pressure. Markets questioned whether the Milei plan was working, with the central bank's ability to service debts and pay for imports increasingly contingent on foreign financial lifelines. FT[2025-10-23]

10. The Trump administration directly intervened in Argentina's currency market in October 2025, assembling a \$20 billion package to help Argentina make debt repayments, drawing capital from private banks and sovereign wealth funds. The US Treasury described the exchange rate at that moment as extraordinary. FT[2025-10-17]

11. A US Treasury standby credit was extended via the Exchange Stabilization Fund, with active discussions between the US Treasury Secretary and Milei's team. The intervention came as the country stood at the brink of hyperinflation, which had already weighed on growth, and after Milei's party suffered a heavy defeat in a regional election. FT[2025-09-25]

12. By January 2026, Argentina's central bank had secured a new loan from international sources as part of a plan to buy \$10 billion in 2026, and slightly relaxed the controlled exchange rate band. However, the structural weakness of the reserve base — reliant on repo facilities and borrowed liquidity — remained a core vulnerability flagged by Buenos Aires-based financial consultancy FMyA, noting that half the repo facility would be used to service existing obligations. FT[2026-01-08]

13. Milei simultaneously defended a pegged exchange rate to keep the peso artificially strong as a tool to control residual inflation, while critics warned that defending exchange rate bands against the market ultimately failed — a lesson Argentina had encountered repeatedly in its own history. FT[2025-10-16]

---

## III. Energy Sector: Vaca Muerta and YPF Privatisation

---

14. The Milei government set out ambitious plans to liberalise Argentina's energy sector, including the potential privatisation of the state oil company YPF. According to OPEC's World Oil Outlook 2024, these reforms had the potential to substantially reshape the country's energy scene, though they were expected to face significant resistance in Congress. [RAG: OIL\_ENERGY\_RAG — OPEC World Oil Outlook 2024, p.165]

15. OPEC's base-case assessment for Argentina retained a cautiously positive outlook for liquids supply growth contingent on the reform agenda advancing, with Vaca Muerta shale as the principal upside

driver. The same report noted that congressional resistance and implementation uncertainty remained the primary constraints on Milei's energy liberalisation. [RAG: OIL\_ENERGY\_RAG — OPEC World Oil Outlook 2024, p.165]

16. Argentina had in December 2022, prior to Milei's election, published a National Climate Change Adaptation and Mitigation Plan under the previous government, establishing a policy framework for emissions reduction. The degree to which the Milei administration would honour or modify this commitment remained an open question given the new government's explicit pro-fossil-fuel stance. [RAG: CLIMATE\_RAG — UNEP Emissions Gap Report 2023-24]

---

## IV. Lithium Triangle: Argentina's Strategic Resource Position

---

17. Argentina sits within the lithium triangle alongside Bolivia and Chile, a region that collectively holds approximately 28 per cent of global lithium supply — the key component for battery technology powering the global energy transition. The triangle's deposits represent the world's largest proven lithium reserves. FT[2026-07-22]

18. Latin America's lithium position was being actively courted by major consuming nations by early 2026. India's government was pushing state-owned mining groups to pursue stakes in the lithium triangle in direct response to the volatility of the US administration and India's own ambitions to meet green energy targets. FT[2026-02-25]

19. As early as May 2025, India had been pressing mining state-owned enterprises to secure lithium triangle reserves, with analysts noting that despite geographical and climatic challenges in the evaporation-pond extraction process — and a global industry shift towards Direct Lithium Extraction (DLE) — Latin American producers, including Argentina, remained the primary targets for upstream investment. FT[2025-05-02]

20. The geopolitical competition for lithium triangle access intensified across 2025 and into 2026, with Argentina's liberalised investment framework under Milei making the country more accessible to foreign mining capital than under the previous Kirchnerist administration's resource-nationalist posture. This structural shift positioned Argentina as a potential beneficiary of the global critical-minerals race, though regulatory uncertainty and infrastructure constraints remained. FT[2025-05-23]

---

## Outlook

---

Argentina's stabilisation experiment under Milei rests on three interlocking pillars, each carrying significant execution risk. First, the fiscal anchor — deep austerity to eliminate the deficit — has delivered partial inflation correction but at a social cost that is eroding the president's political capital ahead of the 2025 midterm elections and the subsequent electoral cycle. Second, the reserve accumulation problem has not been resolved; the central bank's apparent reserve buffer is substantially illusory, composed of borrowed liabilities rather than free reserves, making the exchange rate band vulnerable to any reversal in external support or commodity export receipts. Third, the energy and resource reform agenda — Vaca Muerta development and YPF privatisation — represents the long-run upside scenario, but faces structural congressional opposition that has already slowed implementation.

The direct engagement of the US Treasury via the Exchange Stabilization Fund signals that Washington regards a Milei failure as an unacceptable geopolitical outcome, providing a meaningful external backstop. However, this backstop is not unconditional, and its durability across US political cycles is uncertain. The lithium triangle endowment offers a generational resource dividend if the investment climate stabilises and external demand from India, China, and Western EV supply chains continues to deepen.

The near-term scenario is one of managed fragility: inflation correction continues, the exchange rate band holds with external support, but growth recovery remains subdued and popular discontent risks crystallising into an electoral correction that constrains the second half of Milei's mandate.

---

R362 | All figures sourced from CivilisationOS RAG corpus.